



SOLE PROPRIETORSHIP

Here, we own 100% of the firm and all the firm's assets and liabilities are our responsibility. In such scenarios, we include all assets and liabilities in our personal balance sheet. However, know that these should all be categorized under 'Support Assets' and not 'Investible Portfolio'. For the income statement, we will include the business net profit after taxes as income in our personal income statement. Sales and expenses are not to be treated individually.

BUSINESS BALANCE SHEET

Liabilities	Assets
 Loans of INR 20,000	 Assets of INR 80,000

PERSONAL BALANCE SHEET

Liabilities	Assets
 Loans of INR 20,000	 Assets of INR 80,000



BUSINESS INCOME STATEMENT

Income
Expenses
Profit / Loss

PERSONAL INCOME STATEMENT

Income
 Business Profits of INR 50,000
Expenses
Profit / Loss

